capacity', it also forked out Rs 4 billion 'to upgrade its transmission and distribution network in Bombay'.

The spate of collaborations continued to rise during Ratan's time at the helm. He strove for private–private and private–public partnerships. Profits were not the sole objective. 'Tatas should bring value to our partners,' says Sinha, recalling Ratan's refrain. One of the best examples of this was the liquified natural gas (LNG) collaboration that was signed with the Indian subsidiary of the French giant Total to set up an LNG terminal at Trombay in 1998.

In 1999, Ratan took over as chairman of TEC from Homi Sethna and unveiled the companies' expansion goals. It was a Rs 4,800 crore plan to be implemented over the next three years and included provisions for investments in existing ventures as well as new ones. He also announced an increase in the Tata Group's stake in TEC, from 51 per cent to 71 per cent.

In June 2000, Tata Hydro-Electric Power Supply (established in 1910) and Andhra Valley Power (established in 1916) were merged with Tata Power Company (established in 1919). Ratan's goal to achieve scale underpinned the merger. This step, it was opined, would enable Tata Power to gain 'greater leverage' to 'participate in large projects' and emerge as a major player in the sector. It would 'help the merged entity to be a stronger company in both [the] national and international context'. 'We became a huge battleship instead of three small ships,' says Engineer.

After the board meeting that decided the merger, Ratan addressed the press and shared his vision for Tata Power. He said that acquisitions had become the 'order of the day' and that the only logical way of protecting the companies from a 'hostile takeover' was to ensure that the entities were 'valued properly and have a strong management'. He added that the promoter would increase its stake in Tata Power to 26 per cent, and that it would 'grow over time'.

Simultaneously, he announced the power company's interest in the telecom sector. He said that Tata Power would invest a further amount of Rs 300 crore in the sector. 'Exploring internet services can be an activity for the future … It would be worthwhile to be an investor in the long-term prospects of the telecom industry,' he commented.

While Tata Power already had a '400 km optic fibre network' which it intended to light in nine months, it also had an 'additional 1200 kms right of way (ROW) for further development in Mumbai'. At the press conference,